

Harriston Group Overview

The Harriston Group lacks a cohesive brand identity, primarily relying on retail sales to inbound tourists visiting their outlets. Before the COVID-19 pandemic, they operated five outlets, including one in Singapore, with tourists from India, the Middle East, and China being their main customers. Currently, their most popular outlet is in Ampang, Kuala Lumpur, operated by Wealth Producers Sdn Bhd. Other branches include Penang, operated by Cocoa Boutique (P) Sdn Bhd, and another Kuala Lumpur branch, managed by Cocoa Boutique Sdn Bhd, which also oversees their chocolate boutique cafes. Their manufacturing is handled by TSC Chocolate Manufacturing Sdn Bhd.

History and Operations

The group entered the chocolate business by expanding their retail items for tourists to include chocolates made under OEM from their then supplier. In 2010, they established TSC Chocolate Manufacturing Sdn Bhd to produce their own range of chocolate products. They started manufacturing from scratch, with no prior knowledge of cocoa or chocolate production, and hired a chef to set up the factory.

Before the pandemic, the group's total sales were about RM80 million annually, with around 200 staff members. Currently, sales are approximately RM20 million, and they expect a 30-40% growth in 2024. The current staff strength is 47, plus 15-18 contract staff supplied by an outsourced labor company.

Recent Developments

In 2018, Harriston ventured into OEM chocolate production for several brands. One of their most lucrative contracts was secured in 2017, selling chocolates for Air Asia's inflight sales. They received multiple requests for OEM production and are currently negotiating to supply chocolates to Malaysian Airlines. To accommodate growth, they expanded in 2018 by purchasing a larger factory, which later proved insufficient due to space constraints, forcing them to store materials haphazardly.

Between 2020 and 2022, they faced high costs and low sales due to the pandemic. During this period, they shifted focus to exhibitions to attract OEM customers. Post-pandemic, sales of their own brands have stabilized, supporting their retail outlets. However, financial constraints forced them to sell the new factory and downsize. They also had to limit their purchase of new machines to one instead of the planned three.

Current Challenges and Needs

- **High Material Cost:** The cost of cocoa has been rising sharply, significantly affecting profit margins. The group sources cocoa from one of the world's best suppliers, adhering to our policy of using only the highest quality ingredients. However, when they conducted

a blind taste test with customers using competitor's products, which do not use premium cocoa, the customers could not tell the difference. This suggests the possibility to use less premium cocoa without compromising perceived quality. Though deeper studies are needed. There are 52 direct competitors and the group positions itself among the top in terms of premium quality but price may not reflect that.

- **Factory Operations:** With a lean staff, they need to consider automation to reduce workforce dependency. The production process includes molding (shaping chocolate) and panning (inserting non-chocolate ingredients), with panning being the primary production due to high sales. They want to improve operations to be better, cheaper and faster.
- **SKU Management:** They have about 100 active SKUs but need to rationalize non-active ones, which is a significant challenge.
- **Operational Improvements:** They seek help in improving operations, workflows, and processes. Almost all costs are borne by TSC, resulting in slim profit margins.
- **Production Space:** Limited to 6,000 square feet until they are financially able to expand.
- **Retail Sales:** Limited to about 2,000 busloads of tourists due to production constraints.
- **New Ventures:** Recently partnered with an inbound tourist agent bringing in large numbers of Chinese tourists, selling under the partner's brand, Olivier, with decent costs and margins.

Future Prospects

- **Untapped market:** The group sees chocolate beverage as a key business driver, as the market is huge and untapped. Additionally, beverages consume less cocoa.
- **Franchising:** They see franchising as a low-cost expansion method and have met interested parties but have grown weary of delays. They hope this opportunity will materialize soon.
- **Expansion:** They are keen on opening new outlets and expanding but need to streamline operations without incurring production downtime, as they cannot afford to go into double shifts.
- **Expert Assistance:** They believe expertise is required to enhance production but have been disappointed by previous consultants. They are hoping JP and Associates can help, although they are concerned about affordability.

The Harriston Group is poised for growth but needs strategic operational improvements, financial stability to fully realize its potential and a more cohesive brand identity.